



LTI delivered a strong performance in Q3FY22 with a 9.2% qoq revenue growth in cc terms and beat our estimates across the board

- \$ Revenue came in at \$ 553 Mn, +8.6% qoq (9.2% in cc terms) / +29.3% yoy and +1.4% above our estimates
- INR revenue came in at INR 41,376 Mn, +9.8% qoq / +31.2% yoy and 1.2% above our estimates
- EBITDA at INR 8,311 Mn, +13.4% qoq / +13.5% yoy and +4.3% above our estimates
- EBITDA Margins stood at 20.1% vs 19.5% / 23.2% in Q2FY22 / Q3FY21 respectively and 60 bps above our estimates
- EBIT at INR 7,426 Mn, +14.6% qoq / +14.2% yoy and +3.9% above our estimates
- EBIT margins of 17.9%, vs 17.2% / 20.6% in Q2FY22 / Q3FY21 respectively and 47 bps above our estimates
- PAT came in at INR 6,125 Mn, +11% qoq / +18% yoy and 1.7% above our estimates
- EPS at INR 34.95 vs 31.6 / 29.7 in Q2FY22 / Q3FY21 respectively

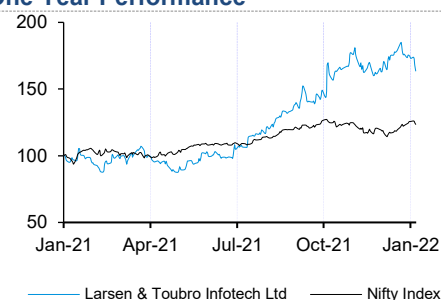
Rating	TP (Rs)	Up/Dn (%)
BUY	7,905	18

Market data

Current price	Rs	6,692
Market Cap (Rs.Bn)	(Rs Bn)	1,173
Market Cap (US\$ Mn)	(US\$ Mn)	15,723
Face Value	Rs	1
52 Weeks High/Low	Rs	7,595/ 3,517
Average Daily Volume	('000)	219
BSE Code		540005
Bloomberg		LTI.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

Segmental Performance

- Growth was primarily driven by 4 verticals: Manufacturing (17% of revenue) at +18.4% qoq / +30.8% yoy, BFS (32.8% of revenue) at +9.6% qoq / +38.6% yoy, CPG, Retail & Pharma (10% of revenue) at +7.6% qoq / +18.6% yoy and Energy & Utilities (8.8% of revenue) at +7.4% qoq / +13.4% yoy

% Shareholding	Dec-21	Sep-21
Promoters	74.07	74.09
Public	25.93	25.91
Total	100	100

Source: BSE

Service-wise Performance

- Growth was primarily driven by 3 main services: Analytics, AI & Cognitive (12.7% of revenue) grew at +14% qoq / 38% yoy, Enterprise Solutions (31.4% of revenue) grew at +12.2% qoq / +29.3% yoy and Enterprise Integration & Mobility (9.3% of revenue) grew at +8.6% qoq / +36.6% yoy
- **ADM & Testing** (33.5% of revenue) grew at +6.4% qoq / +28.9% yoy and **IMS** (13.2% of revenue) grew at +2.4% qoq / +19.3% yoy

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22E	FY23E	FY24E
Net sales	1,08,786	1,23,698	1,58,368	1,92,366	2,13,392
EBIT	17,562	23,926	27,423	34,384	38,563
Adjusted net profit	15,200	19,381	23,112	27,779	30,886
Free cash flow	17,217	35,072	27,168	37,525	35,673
EPS (Rs)	86.4	110.2	131.4	158.0	175.7
growth (%)	0%	28%	19%	20%	11%
P/E (x)	77.4	60.7	50.9	42.4	38.1
P/B (x)	21.7	16.1	13.2	11.0	9.3
EV/EBITDA (x)	57.7	42.9	37.7	30.7	27.0
Market Cap (INR Mn)	11,77,021	11,76,595	11,76,595	11,76,595	11,76,595
ROCE (%)	29.6	30.5	28.9	28.7	26.8
RoE (%)	29.5	30.5	28.6	28.5	26.5
Dividend yield (%)	0.4	0.5	0.5	0.7	0.7

Source: Company

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Conference Call Key Takeaways

- Added 1 Fortune 500 logo in Q3, taking the total Fortune 500 count to 72
- **Highest number of logo additions in YTD since listing**
- Added new logo from pharma vertical with large deal TCV of \$32 Mn in IMS for multiyear transformation where they are moving to cloud and modernizing the applications. Won the deal versus 2 largest companies in IT sector
- Increased fresher intake to 5,500 for FY22 and added 1,000 Higher Trained Employee (1-2 years of experience in Q3). These higher trained employees have undergone a 3-month training in Cloud and Digital and are ready to be deployed from Q4 onwards
- **BFS:** saw growth across all geographies and service lines
- **Insurance:** has been a laggard in the last few quarters, saw some growth during Q3 and some works needs to be done
- **Manufacturing:** H2 is generally better due to higher pass-through revenue in India engagement (2% of the current quarter growth is from passthrough)
- **Energy & Utility:** Q3 was decent due to higher Oil prices but expect cyclicity to continue in this quarter
- **CPG, Retail & Pharma:** see a continuous trend in leveraging data and supply chain resilience
- **Management indicated that client conversations are optimistic as far as outlook is concerned and see strong demand environment for the next 3-5 years**
- **Outlook:** will be in the leader's quadrant in terms of growth with 14-15% PAT margin
- **Margin walk:** +40 bps due to leverage from growth and operational efficiency and +30 bps benefit from currency
- CFO stood at INR 4,403 Mn
- Cash & Cash Equivalents stood at INR 36,142 Mn
- Comfortable with the current onsite offshore mix

Quarterly Performance Analysis

Exhibit 1

Consolidated financial results							
INR mn	Q3FY22	Q3FY21	YoY Growth	Q2FY22	QoQ Growth	Q3FY22E	Deviation
Revenue (US\$)	553	428	29.3%	509	8.6%	546	1%
Revenue (INR)	41,376	31,528	31.2%	37,670	9.8%	40,878	1%
Direct costs	28,547	20,507	39.2%	26,011	9.7%	28,008	2%
Gross profit	12,829	11,021	16.4%	11,659	10.0%	12,870	0%
S,G&A	4,518	3,701	22.1%	4,327	4.4%	4,905	-8%
Total expenses	33,065	24,208	36.6%	30,338	9.0%	32,913	0%
EBITDA	8,311	7,320	13.5%	7,332	13.4%	7,965	4%
D&A	885	819	8.1%	850	4.1%	821	8%
EBIT	7,426	6,501	14.2%	6,482	14.6%	7,144	4%
Other income	999	689	45.0%	1,112	-10.2%	1,123	-11%
Net profit before tax and exceptional items	8,237	6,993	17.8%	7,420	11.0%	8,097	2%
Provision for tax on above	2,112	1,801	17.3%	1,903	11.0%	2,077	2%
Net profit pre-exceptionals	6,125	5,192	18.0%	5,517	11.0%	6,021	2%
Reported net profit	6,125	5,192	18.0%	5,517	11.0%	6,021	2%
Margins (%)							
Gross margins	31.0%	35.0%	-395	31.0%	6	31.5%	-48
EBITDA margin	20.1%	23.2%	-313	19.5%	62	19.5%	60
PAT margin	14.8%	16.5%	-166	14.6%	16	14.7%	7

LTI's Q3FY22 performance means that it has reported industry leading performance for the 3rd straight quarter. Management is confident of delivering growth in the leader's quadrant for FY22.

EBIT margins benefited by 40 bps due to operating leverage and efficiency and 30 bps due to currency movements

Management maintained that 14-15% PAT margins are sustainable for FY22e

Source: Dalal & Broacha Research, Company

Valuation & Outlook

This is the 3rd straight quarter of industry leading growth delivered by LTI. Management maintains that one can expect the current robust demand environment to sustain for another 3-5 years as client conversations are extremely optimistic and client industries are aggressively restructuring themselves with more focus on technology.

LTI is currently trading at 42.4x / 38.1x FY23e / FY24e EPS. Taking the consistently strong performance into consideration coupled with robust outlook and management confidence into consideration, we our BUY rating on the stock as we rollover to FY24e estimates and arrive at revised target price of INR 7,905 (from INR 7,820 earlier).

Financial

P&L Statement					
INR mn	FY20	FY21	FY22E	FY23E	FY24E
Revenue	1,08,786	1,23,698	1,58,368	1,92,366	2,13,392
Growth (%)	15%	14%	28%	21%	11%
Gross Profit	35,197	41,505	48,927	60,864	68,183
EBITDA	20,292	27,251	30,804	37,781	42,576
EBITDA Margin (%)	18.7%	22.0%	19.5%	19.6%	20.0%
Depreciation	2,730	3,325	3,381	3,397	4,013
EBIT	17,562	23,926	27,423	34,384	38,563
EBIT Margin (%)	16.1%	19.3%	17.3%	17.9%	18.1%
Other Income	3,289	2,743	4,408	3,658	3,658
Exceptional items	0	0	0	0	0
PBT	20,025	25,881	31,122	37,361	41,540
Reported PAT	15,200	19,381	23,112	27,779	30,886
Adj PAT	15,200	19,381	23,112	27,779	30,886
PAT Margin (%)	14%	16%	15%	14%	14%
EPS (Rs.)	86.4	110.2	131.4	158.0	175.7
EPS Growth (%)	0%	28%	19%	20%	11%

Ratio Analysis					
	FY20	FY21	FY22E	FY22E	FY22E
Margin ratios					
Gross	32.4%	33.6%	30.9%	31.6%	32.0%
EBITDA	18.7%	22.0%	19.5%	19.6%	20.0%
Adj PAT	14.0%	15.7%	14.6%	14.4%	14.5%
Performance ratios					
Pre-tax OCF/EBITDA	101.3%	107.5%	72.8%	92.3%	97.7%
RoE (%)	29.5%	30.5%	28.6%	28.5%	26.5%
ROCE (%)	29.6%	30.5%	28.9%	28.7%	26.8%
RoCE (Pre-tax)	38.9%	40.7%	38.9%	38.7%	36.0%
RoIC (Pre-tax)	34.0%	35.2%	35.3%	36.7%	36.9%
Return on Total Assets	19.9%	23.0%	23.0%	24.9%	24.2%
Fixed asset turnover (x)	30.7	36.8	88.5	281.1	366.7
Total asset turnover (x)	1.4	1.3	1.4	1.5	1.4
Valuation metrics					
Fully Diluted Shares (mn)	176	176	176	176	176
Market cap (Rs.mn)	11,77,021	11,76,595	11,76,595	11,76,595	11,76,595
P/E (x)	77.4	60.7	50.9	42.4	38.1
EV (Rs.mn)	11,71,221	11,68,545	11,62,550	11,61,125	11,51,539
EV/ EBITDA (x)	57.7	42.9	37.7	30.7	27.0
FCF Yield	1.2%	1.6%	0.7%	2.0%	2.5%
P/BV (x)	21.7	16.1	13.2	11.0	9.3
Dividend pay-out (%)	37.4%	32.3%	31.5%	37.5%	33.7%
Dividend yield (%)	0.4%	0.5%	0.5%	0.7%	0.7%

Balance Sheet					
INR Mn	FY20	FY21	FY22E	FY23E	FY24E
Share capital	174	174	174	174	174
Reserves and surplus	53,866	72,859	88,682	1,06,048	1,26,522
Net Worth	54,040	73,033	88,856	1,06,222	1,26,696
Non Current Liabilities					
Deferred Tax liabilities	101	35	35	35	35
Total debt	3,204	859	859	859	859
Current Liabilities					
Trade payables	6,950	8,277	6,640	8,047	8,892
Total Net worth and Liabilities	88249	103902	119318	138091	159410
Assets					
Non Current Assets					
Net fixed assets	4031	2700	878	491	673
Intangible Assets	7474	8961	11751	14512	16718
Investments	23757	40405	37216	45206	50147
Deferred tax assets	3039	1476	1476	1476	1476
Current Assets					
Cash and bank balances	5252	5583	11578	13003	22589
Loans & advances	12731	16602	16602	16602	16602
Trade Recievables	23121	20835	30372	36892	40925
Total assets	88249	103902	119318	138091	159410
Check	0	0	0	0	0
Capital Employed	57,244	73,892	89,715	1,07,081	1,27,555
Invested Capital	51,610	67,906	77,734	93,675	1,04,564

Cash Flow Statement					
INR Mn	FY20	FY21	FY22E	FY22E	FY22E
PAT	15200	19381	23112	27779	30886
Less: Non Operating Income	-3289	-2743	-4408	-3658	-3658
Add: Depreciation	2730	3325	3381	3397	4013
Operating Profit before WC Ch	15467	20751	22794	28200	31923
(Inc)/Dec in Current Assets	-10487	-15681	-3345	-12980	-8027
Inc/(Dec) in Current Liabilities	5621	-143	-1637	1407	845
Net Cash From Operations	10601	4927	17812	16626	24741
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	-3709	-1994	-1559	-3010	-4195
(Inc)/Dec in Investment (Strategic)	1060	-2449	-3004	-1530	-946
Add: Non Operating Income Inco	3,289	2,743	4,408	3,658	3,658
Cash From Investing Activities	-1,064	-3,257	-2,944	-3,643	-3,690
Cash Flow from Financing Activities					
Dividend Paid	-4864	-5592	-6125	-8750	-8750
Tax Paid on Dividend	-815	-671	-1164	-1663	-1663
Net Cash from Financing Activ	-9545	-1606	-7998	-11094	-11094
Opening Balance	4150	5252	5583	11578	13003
Closing Cash Balance	4142	5316	12453	13468	22961

Free Cash Flow Statement					
INR Mn	FY20	FY21	FY22E	FY23E	FY24E
EBITDA	20,292	27,251	30,804	37,781	42,576
FC Investment	-3709	-1994	-1559	-3010	-4195
WC Changes	-4866	-15824	-4982	-11573	-7182
Depreciation Tax Shield	658	835	870	871	1029
Tax Expenses	4889	6844	7928	9690	10919
FCF	17217	35072	27168	37525	35673

Source: Dalal & Broacha Research, Company

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